MODULE 4 · MONEY MATTERS

# Types of Insurance

**StreetSmarter** : Because no one taught us this stuff [www.streetsmarter.in](http://www.streetsmarter.in)

Insurance is one word covering a lot of very different products, and mixing them up is easy. This isn't financial advice telling you what to buy, it's the map, so that when you do need to make a decision (or help a parent make one), you already know what's what.

## 1. The Core Idea

Insurance is a pool. Lots of people pay a small, predictable amount (the premium), so that the few who face a big, unpredictable loss get covered by the pool instead of paying for it entirely alone. That's it, that's the whole concept underneath every type below.

## 2. Life Insurance

- Term insurance: pure protection. You pay a premium, and if you pass away during the policy term, your family gets a large payout. If you don't, there's usually no payout at the end, that's the trade-off for it being far cheaper.
- Endowment / whole life plans: part insurance, part savings. More expensive, with a payout even if you survive the term, but the returns are often lower than simply investing the difference separately.
- Life insurance generally matters once other people financially depend on your income, a spouse, children, ageing parents. As a teenager, this isn't urgent for you personally, but it's useful to understand for family conversations.

## 3. Health Insurance

- Beyond government schemes like Ayushman Bharat, private health insurance covers hospitalisation costs for a premium, individually or for a whole family ("family floater").
- Family floater plans cover everyone under one sum insured, cheaper overall, but the cover can run out faster if more than one person needs treatment in the same year.
- Premiums are priced on age and health, buying a policy earlier, even in your 20s, usually locks in significantly lower rates than waiting until your 40s.

### 4. Vehicle Insurance

The one insurance type you'll deal with directly, and soon, the moment you or your family owns a two-wheeler or car.

- Third-party insurance is legally mandatory for every vehicle on Indian roads, under Section 146 of the Motor Vehicles Act. It covers damage or injury you cause to someone else, not your own vehicle.
- Driving without valid third-party cover is a punishable offence, fines start at Rs. 2,000 for a first offence and increase for repeat violations.
- Comprehensive insurance includes third-party cover plus own-damage cover, protecting your own vehicle from accidents, theft, fire, and natural disasters, at a higher premium.
- As of August 2026, a Supreme Court ruling is extending the mandatory long-term third-party cover period for new vehicles, to 4 years for cars and 6 years for two-wheelers, up from the previous terms. This is a very recent development, so check the current requirement when a vehicle is actually being purchased.

## 5. Quick Comparison

- Life insurance: protects people who depend on your income. Not urgent at your age, but useful to understand.
- Health insurance: protects against hospital bills. Worth knowing about early, since starting young means cheaper premiums later.
- Vehicle insurance: the one you'll actually need soon. Third-party is mandatory by law, comprehensive is a personal choice on top of it.

### A Few Myths, Busted

| Myth | Fact |
|---|---|
| Third-party vehicle insurance is optional if you're a careful driver. | It's legally mandatory for every vehicle on the road, regardless of how carefully you drive, and driving without it is punishable by law. |
| Health insurance is only worth buying once you're older or unwell. | Premiums are based on age and health. Buying earlier, while young and healthy, generally locks in a lower rate for years to come. |
| Life insurance and health insurance are basically the same thing. | They cover completely different risks, life insurance pays out to your family if you pass away, health insurance covers your own hospital bills while you're alive. |

*This page explains how insurance works in general, it isn't financial advice on what policy to buy. For an actual decision, talk to a licensed advisor or compare options directly on the IRDAI-regulated insurer's own site.*

## Useful Links

**IRDAI (Insurance Regulatory and Development Authority)** · *the official regulator for all insurance companies in India*